
MEMORANDUM

TO: Mayor Patrick Collins, and City Council
FROM: TJ Barttelbort, Purchasing Manager *TJB*
DATE: April 28, 2021
SUBJECT: Consideration to Purchase between the City of Cheyenne, and Wyoming Machinery Company, Cheyenne, Wyoming, to replace the Undercarriage, Track Shoes, and related components on a Caterpillar D5K Dozer (City Block #5901)

This is a sole source purchase through Wyoming Machinery Company, therefore no bids were requested.

City Block #5901, a Caterpillar D5K Dozer, is in need of replacement of the Undercarriage, Track Shoes, and related components. Wyoming Machinery Company has provided a Sole Source Letter, dated April 27, 2021, included for reference. Per the provided letter, “Wyoming Machinery Company is the authorized dealer serving Caterpillar customers in Wyoming with sales, parts and service.” Additionally, if the City of Cheyenne wished to install a different undercarriage, “Machine modifications would have to be performed to run a conventional undercarriage with added expense.”

Due to the City wishing to continue use of the Caterpillar System-one/Abrasion Undercarriage, the City is requesting this repair be awarded to Wyoming Machinery Company. This undercarriage is a “Proprietary premium undercarriage and is manufactured and designed specifically for Cat machines.” & the “System-one/Abrasion undercarriage is a Cat exclusive undercarriage that can be only sourced from authorized Cat dealers.”

The replacement of the Undercarriage, Track Shoes, and related components is a complicated repair. Due to the environment that the D5K Dozer operates in (Landfill) the extent of damage and repairs is not known, until the repairs commence. Wyoming Machinery Company has provided a potential cost range of \$11,773.21 to \$40,398.64. An additional buffer of \$5,000.00 may be required if during the repair damaged or broken bolts are encountered that were not discoverable until the repair is underway.

The City of Cheyenne Fleet Maintenance Division & Sanitation Division is seeking funding authorization in an amount not to exceed \$45,398.64.

Funding: (101-14-1415-40-21601 / Fleet Maintenance Fund / Maintenance)
\$45,398.64



REQUEST FOR SOLE/SINGLE SOURCE PURCHASE

DIRECTIONS:

Complete this form for all purchase requests with a sole/single source vendor. Send to the Purchasing Office before purchasing the item(s) along with the letter from the vendor indicating they are the sole/single supplier. **If over \$34,999.99, attach a copy of the legal ad and place on council.**

Name: Bryan Bell

Date: 4/6/21

Division/Department: Fleet Maintenance

ITEM DESCRIPTION: To replace worn tracks and shoes and undercarriage components on 5901 D5 dozer.

Additional charges may apply for removal of broken bolts and broken or bent guards.

AMOUNT OF PURCHASE: \$45,398.64

STATE REASON FOR SOLE OR SINGLE SOURCE PURCHASE (CIRCLE ONE):

Warranty from Wyoming Machinery is 4 years 4000 hour/prorated on track wear.

Signature of Requesting Individual: Bryan Bell

Digitally signed by Bryan Bell
Date: 2021.04.06 14:26:59 -06'00'

DIVISION/DEPARTMENT HEAD APPROVAL:

Name: Craig LaVoy

Digitally signed by Craig LaVoy
Date: 2021.04.27 15:31:23 -06'00'

Date: 4/27/2021

COMMENTS:

For Purchasing Office use only:

Sole/Single Source Letter Attached: Yes / No / NA

Legal Ad Attached: Yes / No / NA

Finance Dates: May 17, 2021

City Council Dates: May 24, 2021

Received On: 4/27/2021

TJB

Digitally signed by TJB
DN: cn=TJB, ou=Purchasing,
email=tjb@cheyennecity.org, c=US
Date: 2021.04.27 15:58:22 -06'00'

REQUEST TO PURCHASE OVER \$35,000.00

Consideration to purchase between the City of Cheyenne, and Wyoming Machinery Company, Cheyenne, Wyoming, to replace the Undercarriage, Track Shoes, and related components on a Caterpillar D5K Dozer (City Block #5901) in an amount not to exceed \$45,398.64. This is a single source purchase, therefore no bids were requested.

This will be reviewed by the City Council Finance Committee on May 17, 2021 and voted on at the May 24, 2021 City Council meeting.

TJ Barttelbort, Purchasing Manager 
City of Cheyenne, Wyoming
(307) 773-1045

Published in: Wyoming Tribune-Eagle
Dates: May 5 & 12, 2021

April 27, 2021

Bryan,

Thank you for the call today with your undercarriage questions on your D5K. The City of Cheyenne D5K was ordered with the premium Cat System-one/Abrasion Undercarriage group. The System-one/Abrasion undercarriage is a proprietary premium undercarriage and is manufactured and designed specifically for Cat machines. It features minimal midlife maintenance and extended seal life. The System-one/Abrasion undercarriage is not interchangeable with the previous conventional undercarriage system. System-one/Abrasion undercarriage is a Cat exclusive undercarriage the can be only sourced from authorized Cat dealers. Machine modifications would have to be performed to run a conventional undercarriage with added expense. Additionally, losing any benefits you have achieved with the System-one/Abrasion undercarriage.

Wyoming Machinery is the authorized dealer serving Caterpillar customers in Wyoming with sales, parts and service.

Please contact me with any additional questions you may have.

Regards,

James Sheets
Product Support Sales Representative

CASPER
PO BOX 2335
82602
(307) 472-1000

CHEYENNE
PO BOX 987
82003-0987
(307) 638-7900

GILLETTE
PO BOX 1238
82717
(307) 686-1500



PARTS & SERVICE ESTIMATE

CASPER
5300 W Old Yellowstone Hwy
P.O. Box 2335
Casper, WY 82602
TEL (307)472-1000
FAX (307)261-4491

CHEYENNE
7819 Hutchins Drive
Cheyenne, WY 82007
TEL (307)638-7900
FAX (307)633-2525

GILLETTE
5505 Mohan Road
P.O. Box 1238
Gillette, WY 82717
TEL (307)686-1500
FAX (307)686-3961

ROCK SPRINGS
1940 Elk Street
Rock Springs, WY 82901
TEL (307)362-6500

To: City of Cheyenne

PO #:

Estimate ID : D5K

Attn: Bryan Bell

Date: 3/1/2021

Effective From: 3/1/2021

Customer #: 0040000

Shipping Method: WMC TRUCK

Effective To: 6/1/2021

SALESPERSON	W/O	MAKE	MODEL	MACH SERIAL NUMBER	SMU	UNIT #	ENGINE SERIAL NUMBER
James Sheets		CATERPILLAR	D5K	KYY01595	5000	5901	

ITEM #	Product	Quantity	Unit Price	Sub Total
Parts	Replace Undercarriage (see attached parts list)	1	\$29,031.69	\$29,031.69
Track Shop Labor	Install New Track Shoes on New Links	1	\$958.95	\$958.95
Shop Labor	Powerwash Machine	1	\$988.00	\$988.00
Shop Labor	Remove & Install undercarriage Components and Guards	1	\$9,420.00	\$9,420.00
			\$0.00	\$0.00
			\$0.00	\$0.00
			\$0.00	\$0.00
			\$0.00	\$0.00
			\$0.00	\$0.00
			\$0.00	\$0.00
			\$0.00	\$0.00
			\$0.00	\$0.00
			\$0.00	\$0.00
			\$0.00	\$0.00
			\$0.00	\$0.00
	Please Note Additional Charges May Apply For Removal of Broken bolts		\$0.00	\$0.00
	Additional Charges may Apply for Broken or Bent Guards		\$0.00	\$0.00

Price does not include Taxes, Freight, Core Charges, or Overtime Differential.

All prices Subject to Change without notice.

In signing this order buyer acknowledges Wyoming Machinery's conditions and warranties.

To accept this quotation, sign here and return: _____ Date: _____

STANDARD WARRANTY APPLIES FOR PARTS AND LABOR

Subtotal	\$40,398.64
Total Tax	\$0.00
Total	\$40,398.64

Your next step: Please submit a purchase order number to begin service.

THANK YOU FOR YOUR BUSINESS!

CUSTOMER QUOTE

* EXPIRES 04/01/21

CHARGE

010016473

FORMAT132

CHEYENNE, CITY-CENTRAL SHOP
FLEET MAINTENANCE/RENTALS
2101 ONEIL AVE
CHEYENNE WY 82001

0040000

STORE
01

3076376355

AA D 05K2

CAT0D5K2KYY01595

5901

347-2558

3/01/21 15:11:43 JCS

1

ITEM NO.	QUANTITY	PART NUMBER/DESCRIPTION	LOCATION	N/R	TR	SOS	GROSS WEIGHT	UNIT PRICE	EXTD PRICE
1	2	235-2535 LINK AS TRK	QN AAA				760.0	4313.67	8627.34
2	288	288 238-0472 BOLT-TRCK	QN AAA				.5	1.64	472.32
3	288	288 238-0473 NUT-TRCK	QN AAA				.2	1.01	290.88
4	8	8 254-0227 BOLT FCK MST	QN AAA				.7	3.17	25.36
5	70	70 327-5831 SHOE-TRCK	QN AAA				41.4	61.67	4316.90
6	2	2 372-0548 SHOE-TRK WAS	QN AAA				40.4	74.53	149.06
7	2	2 310-7375 PLATE	QN AAA				3.3	126.48	252.96
8	2	2 310-7376 PLATE	QN AAA				3.3	126.62	253.24
9	16	16 8T-4195 BOLT	AAA				.1	.70	11.20
10	16	16 8T-4121 WASHER	AAA				.1	.51	8.16

CONTINUED

CUSTOMER QUOTE

* EXPIRES 04/01/21

CHARGE

010016473

CHEYENNE CITY-CENTRAL SHOP
FLEET MAINTENANCE/RENTALS
2101 ONEIL AVE
CHEYENNE WY 82001

0040000

STORE
01

3076376355

AA D 05K2 *CAT05K2KXY01595* 5901 347-2558 3/01/21 15:11:43 JCS

2

ITEM NO.	QUANTITY	PART NUMBER/DESCRIPTION	LOCATION	N/R	TR	SOS	GROSS WEIGHT	UNIT PRICE	EXTD PRICE
11	1	345-9610 GUARD AS					QN AAA 34.4	855.21	855.21
12	1	345-9609 GUARD AS					QN AAA 34.2	1046.06	1046.06
13	1	345-9636 GUARD AS					QN AAA 29.2	705.74	705.74
14	1	345-9635 GUARD AS					QN AAA 29.2	781.60	781.60
15	12	7X-0515 WASHER					AAA .1	1.92	23.04
16	12	6 8T-41/3 BOLT					AAA .5	5.92	71.04
17	2	258-9788 SPRCKET TRX					QN AAA 82.5	374.24	748.48
18	54	6V-0937 BOLT					AAA .3	1.16	62.64
19	54	7H-3607 NUT					AAA .1	1.18	63.72
20	54	32 22 6V-4316 WASHER					AAA .1	1.18	63.72

CONTINUED

CUSTOMER QUOTE

* EXPIRES 04/01/21

CHARGE

010016473

CHEYENNE, CITY-CENTRAL SHOP
FLEET MAINTENANCE/RENTALS
2101 ONEIL AVE
CHEYENNE, WY 82001

0040000

STORE
01

3076376355

AA 0 05K2

CAT0D5K2KYY01595

5901 347-2558

3/01/21 15:11:43 JCS

3

ITEM	QUANTITY	PART NUMBER/ NO. ORDER SHIP B/O	DESCRIPTION	LOCATION	N/R	TR	SOS	GROSS WEIGHT	UNIT PRICE	EXTD PRICE
21	14	237-8201	ROLLER GP		*	QN	AAA	81.6	.00	.00
21-26	25	1A-8537	CAPSCREW			AAA		.3	3.02	169.12
21-27	56	5P-8247	WASHER			AAA		.1	.96	53.76
21-28		8T-0357	BOLT			QN	AAA	.3	.00	.00
21-29	28	248-5323	CAP-TRK ROLL			QN	AAA	2.6	15.01	420.28
21-30	14	357-5368	ROLLER GP-TR			QN	AAA	73.0	307.91	4310.74
21-31	56	357-6019	BOLT PED			QN	AAA	.3	3.07	171.92
22	2	227-5971	ROLLER GP-CA		*	QN	AAA	54.0	.00	.00
22-26	2	362-0515	ROLLER GP-CA			QN	AAA	51.0	264.88	529.76
23	2	422-2588	IDLER GP-TRA			QN	AAA	344.7	2273.72	4547.44

CONTINUED

CUSTOMER QUOTE

* EXPIRES 04/01/21

CHARGE

010016473

CHEYENNE CITY-CENTRAL SHOP
FLEET MAINTENANCE/RENTALS
2101 ONEIL AVE
CHEYENNE WY 82001

0040000

STORE
01

3076376355

AA D 05K2

CAT0D5K2KKY01595

5901

347-2558

3/01/21 15:11:43 JCS

4

ITEM ---QUANTITY--- PART NUMBER/
NO. ORDER SHIP B/O DESCRIPTION
PARTS SALES PERSON: JAMES SHEETS

*7715

LOCATION N/R TR SOS GROSS
WEIGHT

UNIT PRICE

EXTD PRICE

TOTAL GROSS WEIGHT OF SHIPPED ITEMS

6974.0

RETURN WARRANTY PARTS WITHIN 7 DAYS OF FAILURE

*N/R - NON-RETURNABLE

TAX EXEMPT LIC # 60VT

USD SELL TOTAL

29031.69



PARTS & SERVICE ESTIMATE

CASPER

5300 W Old Yellowstone Hwy

P.O. Box 2335

Casper, WY 82602

TEL (307)472-1000

FAX (307)261-4491

CHEYENNE

7819 Hutchins Drive

Cheyenne, WY 82007

TEL (307)638-7900

FAX (307)633-2525

GILLETTE

5505 Mohan Road

P.O. Box 1238

Gillette, WY 82717

TEL (307)686-1500

FAX (307)686-3961

ROCK SPRINGS

1940 Elk Street

Rock Springs, WY 82901

TEL (307)362-6500

To: City of Cheyenne

Attn:Bryan Bell

Customer #:0040000

PO #:

Date:3/1/2021

Shipping Method:WMC TRUCK

Estimate ID : D5K

Effective From: 3/1/2021

Effective To: 6/1/2021

SALESPERSON	W/O	MAKE	MODEL	MACH SERIAL NUMBER	SMU	UNIT #	ENGINE SERIAL NUMBER
James Sheets		CATERPILLAR	D5K	KYY01595	5000	5901	

ITEM #	Product	Quantity	Unit Price	Sub Total
		0	\$0.00	\$0.00
Track Shop Labor	Install New Track Shoes on New Links	1	\$1,701.55	\$1,701.55
Shop Labor	Powerwash Machine	1	\$988.00	\$988.00
Shop Labor	Remove & Install Track Groups	1	\$4,322.50	\$4,322.50
2380472	Track Bolts	288	\$1.64	\$472.32
2380473	Track Nuts	288	\$1.01	\$290.88
2540227	Master Bolt	8	\$3.17	\$25.36
3275831	Track Shoe	62	\$61.67	\$3,823.54
3720548	Master Shoe	2	\$74.53	\$149.06
			\$0.00	\$0.00
			\$0.00	\$0.00
			\$0.00	\$0.00
			\$0.00	\$0.00
			\$0.00	\$0.00
			\$0.00	\$0.00
	Please Note Additional Charges May Apply Ror Removal of Broken bolts		\$0.00	\$0.00
	Additional Charges may Apply for Broken or Bent Guards		\$0.00	\$0.00

Price does not include Taxes, Freight, Core Charges, or Overtime Differential.
All prices Subject to Change without notice.
In signing this order buyer acknowledges Wyoming Machinery’s conditions and warranties.

To accept this quotation, sign here and return: _____ Date: _____
STANDARD WARRANTY APPLIES FOR PARTS AND LABOR

Subtotal	\$11,773.21
Total Tax	\$0.00
Total	\$11,773.21

Your next step: Please submit a purchase order number to begin service.

THANK YOU FOR YOUR BUSINESS!

Cat® SystemOne™ Undercarriage for Cat® Machines



Innovation that pays for itself.

Since its inception, Cat® SystemOne™ Undercarriage has been tested in some of the most extreme conditions and toughest environments. Remarkably, the results not only met our goals, but in case after case, far exceeded our highest expectations. By redesigning SystemOne from the ground up, we were able to design an undercarriage that works and wears as a system. It minimizes the maintenance and associated downtime between track changes while increasing productivity and lowering owning and operating costs.

SystemOne is an undercarriage system that offers reduced maintenance and increased life. It's routinely cutting owning and operating costs and it's setting the new standard for performance for many satisfied customers on the job today.



CATERPILLAR®

The new industry standard.

Once customers experience the difference in performance and cost per hour, they'll want SystemOne on all their equipment, new and old.

Cat SystemOne Availability

Machine	Factory	Retrofit
D3K/D4K	•	•
D5K	•	•
D6K	•	
D6N	•	•
D6T	•	•
D8T	•	•
953D*	•	
963D*	•	
D5G		•
D4H/D5M/D5N		•
D5H/D6M		•
D6H/R		•
D8N/R		•
953B/C		•
963B/C		•

*Shipped with conventional idlers until further notice.

Proven and Reliable. SystemOne handles the toughest jobs, better.

Over 18,000 machines equipped with SystemOne have been hard at work on job sites in some of the harshest conditions and applications worldwide. Nearly all are reporting a drop in undercarriage operating costs.

Field tests and customer experiences also confirm that SystemOne greatly reduces maintenance requirements and significantly increases wear life. Its innovative rotating bushing design increases bushing life, eliminating the need for a bushing turn. Together with extended life sprockets, idlers, rollers and cartridges, the life of the entire system is extended. The net effect is improved productivity at a dramatically lower cost.

Field-tested and proven, Cat SystemOne Undercarriage delivers the longest life and greatest reliability of any undercarriage system available. SystemOne currently does not support Quad- and Tri-link configurations.

Tractors equipped with SystemOne undercarriage experience lower operating costs.



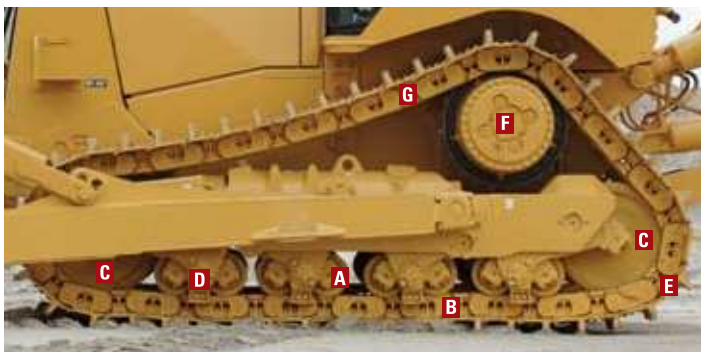
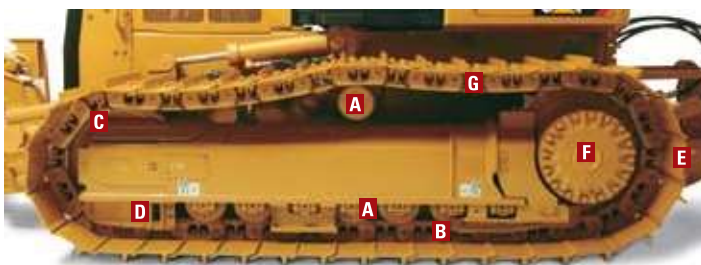
Undercarriage life is increased with the use of SystemOne.**

** Varies by model, application and underfoot conditions. See your local Cat Dealer for specific life projections. SystemOne Undercarriage is covered for four years, 6,000 hrs. or 100 percent wear, whichever comes first.

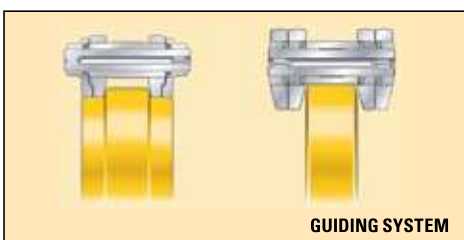
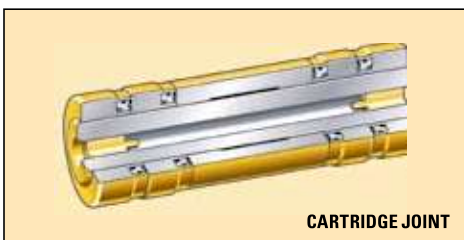
Redesigned from the ground up.

Absolutely nothing was overlooked. Each component was analyzed to optimize performance, minimize maintenance and extend wear life.

The result is an undercarriage that offers customers an opportunity to cut their costs per hour – sometimes, dramatically. **Here's why.**



- A TRACK ROLLERS**
Larger flange for enhanced guiding.
- B CARTRIDGES**
Sealed cartridge-style joints; synthetic oil reduces seal friction by 50 percent.
- C CENTER TREAD IDLERS**
Lasts up to two track systems. No contact with link rails, eliminating scalloping and vibration.
- D GUIDES**
Provide better control for reduced wear and lower maintenance.
- E SHOES**
Four shoe types are available (varies by machine):
 - Moderate service
 - Extreme service
 - Trapezoidal
 - Multi-grouser
 - Super extreme service for D8 only
- F SPROCKETS**
Typically lasts up to two track systems varying by model, application and underfoot conditions.
- G TRACK GROUP AND LINK ASSEMBLY**
Stronger, straight-link design holds up in high-impact conditions. Master link available for small and medium track-type tractors. Serrated master link standard for D8.



Innovative, practical and cost efficient:

Discovering the Cat SystemOne difference is easy. You can't afford to choose anything less than SystemOne, especially with reduction in operating costs, greatly extended life and enhanced reliability.

You've got enough to worry about, SystemOne takes the sting out of maintenance setbacks – eliminating bushing turns, idlers that outlast two tracks and a new, innovative factory-sealed cartridge design.

The longer your undercarriage stays in the field, the greater your returns. SystemOne components have been intelligently designed to work and wear as a system, ensuring a balanced wear life. Unique rotating bushing allows center tread idlers and sprocket segments to be used over the life of two undercarriage systems.

If the ride experience is smoother, the job feels less like work and more work gets done. SystemOne's center tread idlers eliminate costly link rail scalloping and provide the link assembly with more guiding, resulting in significantly less vibration.

SystemOne outperforms Sealed and Lubricated Track (SALT) and Heavy Duty Track in nearly all applications and underfoot conditions available, making it the optimal choice for any tough assignment.



Shown above, a SystemOne link assembly with conventional idler and the scalloping that resulted from its contact with the link rail.



Shown here, the same machine with the same number of hours, but equipped with a center tread idler. The idlers make contact with the joint cartridges only, not the link rails, which eliminates link scalloping and vibration.

Cat® SystemOne™ Undercarriage for Cat® Machines



"When my dealer came to me and explained this system, I was a little bit concerned about using it on such a heavy tractor. But I was really excited about it, because in this environment today, you've got to find ways to cut your costs. This will cut our costs and keep us more competitive."

Norm Murdough
South Carolina
23-year Cat customer



"The life expectancy, I would say, on these tracks are well over two to one over the old style, especially with the abrasive conditions that we work in. I would advise anyone to try it."

Melvil Libby
Lobb Bros, Cornwall, UK



Custom Track Service

To ensure you receive the most productivity from your machine, Caterpillar offers Custom Track Service (CTS), a comprehensive service to help manage undercarriage systems. Our parts and service representatives will perform inspections to project remaining wear life, in order to maximize the life of your machine. Equipped with the advanced tools and necessary parts to perform cost-efficient, accurate track work, CTS minimizes downtime and gets machines back to work quickly.

UNDERCARRIAGE ASSURANCE*

Leakage and Breakage Coverage

New SystemOne Undercarriage parts are covered for leakage and breakage for four years, 6,000 hours or 100 percent wear, whichever comes first.

* See your local Cat Dealer for details.

CAT DEALERS DEFINE WORLD-CLASS PRODUCT SUPPORT.

We offer you the right parts and service solutions, when and where you need them.

The Cat Dealer Network of highly trained experts keeps your entire fleet up and running to maximize your equipment investment.





SERVICE

Extended Coverage

Global

Machine

SystemOne™ Undercarriage Assurance Programs

► Overview

The SystemOne™ Undercarriage Assurance Leakage & Breakage Program and the SystemOne Undercarriage Assurance Wear Life Program are programs developed by Caterpillar for specific undercarriage components on certain track-type machines with steel track. They are used by dealers, when necessary, to obtain new machine or parts sales by offering product support enhancements. These additional product support offerings go beyond the Standard New Machine or Parts Warranties. The cost of the offerings is shared between Caterpillar and the dealer.

The program excludes:

- Track-type Excavators
- Track-type Log Skidders
- Track Feller Bunchers, including Timberking™ and Cat® 500 Series
- Other Manufacturers than Cat Machines
- Undercarriage components that have a brand other than Caterpillar
- Undercarriage covered under Genuine, Classic, and Gold Assurance Programs - see Bulletin 5.01 for coverages
- General Duty Undercarriage - see Bulletin 5.05 for coverages

Leakage & Breakage Coverage Program

Overview

The Leakage & Breakage Program is primarily designed to assure users of structural integrity and sealability.

► Coverage

This coverage begins at the same time as the Standard New Machine Warranty or New Parts Warranty term and terminates in 4 years, 6000 hours, or 100% wear, whichever occurs first.

This coverage only applies after all other applicable coverages for the failed component has expired. Reimbursement during Standard Warranty or Equipment Protection Plan (EPP) period is limited to reimbursement provided by those coverages.

- 05.02-04 (06/13)
<https://warranty.cat.com/wtyguide>
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► Indicates change.

CAT, CATERPILLAR, their respective logos, "Caterpillar Yellow" and the "Power Edge" trade dress, as well as corporate and product identity used herein, are trademarks of Caterpillar and may not be used without permission.

Dealer and Dealers are defined as any Cat Authorized Dealer or Cat Authorized Repair Representative.

For example, should a failure occur during the Standard Warranty Period, then it is covered by Standard Warranty and should be filed against Standard Warranty (not utilizing the claim group numbers listed in this bulletin). Reimbursement will be limited to Standard Warranty per applicable bulletin.

Coverage Details

- New Cat® machines and replacement undercarriage on Cat track-type tractors and track-type loaders
 - Machines are not required to be equipped with Center Tread Idlers
- Oil leaks and breakage on link assemblies, track rollers, carrier rollers, and idlers
- Breakage under normal use of track shoes, sprockets/sprocket segments, and end caps
- Loosening or breakage of factory-installed track shoe and sprocket hardware (nut and bolts)
- Oil leaks and breakage on dealer rebuilt idlers (reshelled, resealed or welded) if they have been re-sealed and are installed with less than 50% wear
- Severe heavy link spalling that affects 30% or more of an individual link rail surface

Enrollment Qualifications

Undercarriage can be enrolled without prior Caterpillar approval.

The machine must have a functioning hour meter.

The minimum purchase for a machine is at least one link assembly, or all track rollers on one track roller frame, or all idlers on one track roller frame.

Exception: If a component is replaced within the Undercarriage Assurance coverage period **AND** the customer pays a proration amount of 25% or more of consumer list price for the component, then the Undercarriage Assurance coverage period starts over for that component. The six-month New Parts Warranty does not apply to components replaced under this exception.

Link assemblies and track groups must be installed on the machine prior to the link assembly or track group install-by date. The install-by date can be found on the parts label attached to the link assembly or track group. If the parts label is missing or damaged, the install-by date is four years past the assembly date. The assembly date can be identified through IRM UC03-04 (PELJ0151).

Documentation/Enrollment

For every Undercarriage Assurance Program enrollment, dealers must keep on file the following documentation:

- The completed agreement between the dealer and the customer - enrollment to Caterpillar is not required
 - The Undercarriage Assurance Enrollment Certificate (PEDJ0024, PFDJ0024, PGDJ0024, PLDJ0024, PSDJ0024) - located in the Sales Library
- Customer invoice of original machine or replacement parts sale
- Custom Track Service (CTS) report at the time of breakage or leakage
- Customer credit invoices

Dealer Reimbursement

Failures during the New Machine Warranty or New Parts Warranty periods must be filed against these warranty programs, not against Undercarriage Assurance.

If there is an undercarriage Product Support Program (PSP) in effect that covers the component failure, dealers must claim under the PSP.

The amount of Caterpillar participation for parts and applicable Disassembly & Assembly (D&A) labor on all covered undercarriage components is reimbursable per Table 2 on page 4.

Definitions of Replace vs. Repair:

- **Replace:** Installing a new link assembly, track group, track roller group, carrier roller group, sprocket, shoe, idler, and/or track shoe or sprocket hardware

- **Repair:** Replacing individual components to reuse a link assembly or idler, including links, link box sections, idler shells, and/or shafts

Component Description	Installation Date	Marketing Organization	Formula
Link Assemblies Track Rollers Carrier Rollers Idlers	After 01Mar10	ALL	D/N Price - (% Worn x C/L Price)
	Before 01Mar10	Americas North, Americas South and APD	D/N Price - (% Worn x C/L Price)
		EAME	D/N Price x (1 - % Worn)
Table 1			

Component proration is intended to credit the customer's account for unused life on link assemblies, track rollers, carrier rollers or idlers that are replaced rather than repaired. For components that are prorated, use the formulas on Table 1 above to calculate the parts price that is claimed to Caterpillar.

The dealer's decision to repair or replace must be based on which alternative is the least costly for Caterpillar. Any link assembly with 80% or greater link wear must be replaced and not repaired.

Dealer reimbursement repair expenses - for repair expenses related to this SystemOne™ Undercarriage Assurance Program will be per the Summary of Reimbursement Practices chart found below, per Table 2 on page 4, in accordance with applicable reimbursement practices as outlined in Bulletin 1.02, and per exceptions listed below.

Summary of Reimbursement Practices	
Repair Expense	Allowance & Rate
Parts	If reimbursable, reimbursed at D/N or per proration.
Service Items	Reimbursable at D/N, if made unusable.
Repair Labor (per Table 2)	If reimbursable, at Warranty Cost Labor rate.
Emergency Parts Service Charges	Reimbursable, if justified in claim story.
Shop Supplies	Not reimbursable as an itemized expense.
Removal & Installation (R&I) Labor, Overtime Labor Rate, Salvage Labor, Travel Time & Mileage, Meals & Lodging, Freight Charges, Hauling Costs and Outside Repair Expenses	Not reimbursable.

Parts - In addition to Bulletin 1.02, rebuilt components must have 100% Cat® new, remanufactured or Caterpillar® approved parts; other manufacturer parts are not allowed.

► Claim Field Information

The following outlines the unique claim field information required:

Product ID / Serial Number - Enter the Cat machine serial number for all new machine sales and parts replacement sales.

Group Number - Enter appropriate group number - reference Table 2, Component Coverage, on page 4.

Parts Start Date - For over-the-counter purchases enter the failed part sale date, OR for dealer installed enter the original repair's last day of labor.

Parts Hr/Mi/Km - If parts start date entered, enter the part hours since it was installed. (Note this number should be less than the number entered in the Product SMU (Hr/Mi/Km) field.)

Claim Story - In addition to complaint, cause and correction, please include the following:

- Information indicating that the machine is enrolled in the SystemOne™ Undercarriage Assurance Leakage & Breakage Coverage Program
- The applicable Custom Track Service (CTS) measurements and percent worn
- The machine's track shoe width
- The track link assemblies serial numbers
- The link assembly or track group install-by date
- When a related undercarriage PSP also exists, include a statement indicating that a PSP exists and the PSP Reference Number

Component Coverage			
Undercarriage Component	Repair/Replace Description	Reimbursement Amount	Claim Group No.
Track Link Assemblies	Repaired - due to leaking or failed cartridges or failed links.	100% Parts at D/N* 100% D&A Labor*	774R
	Replaced - if more economical than repairing.	Prorated Parts* No Labor	774S
Track Rollers and Carrier Rollers	Replaced	Prorated Parts* No Labor	774S
New Idlers Dealer Rebuilt, Reshelled and Resealed Idlers	Repaired - due to seal leaks.	100% Parts at D/N* 1/3 D/N Used Parts 100% D&A Labor*	774R
	Replaced - if more economical than repairing.	Prorated Parts* No Labor*	774S
	Repaired or Replaced - due to breakage of rebuilt (welded wear surface) idler shell.	None	None
Sprockets, Sprocket Segments, Track Shoes, and Track Roller End Caps	Replaced - due to breakage under normal usage.	100% Parts at D/N* No Labor	774S
Factory Installed Hardware For Track Shoes and Sprockets	Replaced - due to breakage or loosening	100% Parts at D/N* No Labor	774S
Table 2			

- *Resultant damaged parts are reimbursable at Dealer Net, no additional labor allowances.

Wear Life Coverage Program

Overview

The Wear Life Program was primarily designed for the introduction of SystemOne™ to assure users of extended wear life for link assemblies, track rollers, and Center Tread Idlers. Effective March 2010, the program is only available for new machines.

Coverage

The program coverage period is 4 years or a dealer-calculated number of hours (6,000 hours maximum), whichever occurs first. Reference the following coverage details section to calculate the hours coverage period.

Machines Sold After 01Mar10

Coverage Details

- New Cat® track-type tractors with factory-installed SystemOne undercarriage
 - Machines must be equipped with Center Tread Idlers
 - Machines that are converted from conventional to SystemOne undercarriage are not covered
- Replacement undercarriage is not covered
- Only link assemblies, track rollers, and Center Tread Idlers are included
- If a covered machine is sold, coverage may be transferred to the new customer only within a dealer territory - this transfer option is at the discretion of the dealer
- Use the following steps to calculate Assurance Life:
 1. Determine '**Baseline Life**' hours - the Baseline Life is the life in hours from one of the following three scenarios for the machine model being quoted:
 - a. The actual life of a previous conventional Cat undercarriage for this customer
 - b. Projected life to 100% of the Link-Roller System for the previous Cat undercarriage for this customer
 - c. If the customer has no previous Cat undercarriage experience, calculate the average life for 3 Cat machines of the same model in similar applications and underfoot conditions
 2. Determine the '**Improvement Factor**' from the following list:
 - a. D6N, D6T, D8T – up to 1.5
 - b. D5K, D6K – up to 1.3
 - c. D3K, D4K – up to 1.5
 3. Determine the Assurance Life by multiplying [**Baseline Life x Improvement Factor**].
 - The maximum coverage supported by Caterpillar is 6,000 hours
 - Dealers may choose to offer a coverage period less than the calculated Assurance Life for commercial reasons

Machines and Undercarriage Sold Before 01Mar10

- New Cat machines and replacement undercarriage on Cat track-type tractors and track-type loaders
 - Machines are not required to be equipped with Center Tread Idlers
- Only link assemblies, track rollers, and Center Tread Idlers are included
- To qualify for program enrollment, customers must install all covered components new at the time of enrollment
 - Center Tread Idlers that are installed with less than 50% wear and are re-sealed can also be included at the time of enrollment.
- If a covered machine is sold, coverage may be transferred to the new customer only within a dealer territory - this transfer option is at the discretion of the dealer

- Use the following steps to calculate Assurance Life:
 1. Determine '**Baseline Life**' hours. The Baseline Life is the life in hours from one of the following three scenarios for the machine model being quoted:
 - a. The actual life of a previous conventional Cat® undercarriage for this customer
 - b. Projected life to 100% of the Link-Roller System for the previous Cat undercarriage for this customer
 - c. If the customer has no previous Cat undercarriage experience, calculate the average life for 3 Cat machines of the same model in similar applications and underfoot conditions
 2. The '**Improvement Factor**' is up to 1.5
 3. Determine the Assurance Life by multiplying [**Baseline Life x Improvement Factor**]. The maximum coverage supported by Caterpillar is 6,000 hours. Dealers may choose to offer a coverage period less than the calculated Assurance Life for commercial reasons.

Documentation/Enrollment

Machines Sold After 01Mar10

For every Undercarriage Assurance Program enrollment, dealers must keep on file the following documentation:

- The completed agreement between the dealer and the customer
 - Undercarriage Assurance Enrollment Certificates - located in the Sales Library
 - English PEDJ0025
 - Portuguese PPDJ0025
 - Spanish PSDJ0025
 - Machines must be enrolled at Caterpillar within 30 days of the machine sale
 - Enrollments can be made through the following:
 - Custom Track Service (CTS)
 - Undercarriage Information System (UCIS) at <https://ucis.cat.com>
 - The calculations for Assurance Life
 - Customer Invoice of original machine sale
 - Custom Track Service (CTS) reports annually or every 1,000 hours, whichever period is shorter
- Examples:**
- Machines that operate less than 1,000 hours per year will need one inspection each year
 - Machines that operate more than 1,000 hours per year will need an inspection every 1,000 hours
 - Custom Track Service reports must be submitted to Caterpillar electronically through the CTS program
 - Customer credit calculations and invoices if a proration is given

Machines and Undercarriage Sold Before 01Mar10

For every Undercarriage Assurance Program enrollment, dealers must keep on file the following documentation:

- The completed agreement between the dealer and the customer
 - Undercarriage Assurance Enrollment Certificates - located in the Sales Library
 - English PEDJ0025
 - Portuguese PPDJ0025
 - Spanish PSDJ0025

- Machines must be enrolled at Caterpillar by 31Mar10
 - Enrollments can be made through the following:
 - Custom Track Service (CTS)
 - Undercarriage Information System (UCIS) at <https://ucis.cat.com>
- The calculations for Assurance Life
- Customer invoice of original machine or replacement parts sale
- Custom Track Service (CTS) reports every 1,000 hours or once a year
- Custom Track Service reports must be submitted to Caterpillar electronically through the CTS program
- Customer credit calculations and invoices if a proration is given

Dealer Reimbursement

Machines Sold After 01Mar10

Component failures must be filed against the New Machine Warranty, the New Parts Warranty or the Undercarriage Assurance Leakage and Breakage Program; only short wear out parts are claimed under the Wear Life Coverage Program.

Defining the End of Usable Life for SystemOne Undercarriage:

- For the link assembly and track rollers, the End of Usable Life is when the Link-Roller System reaches 120% worn
 - This is calculated by the CTS computer program, but can also be determined manually for each side with the formula $[(\text{Link percent worn} + \text{Worst Track Roller percent worn})/2]$
- For the idler, the End of Usable Life is when it reaches 100% wear determined by CTS measurements

If a covered component reaches the end of its usable wear life before the end of the coverage period, Caterpillar will share 50% of the proration with the dealer at Consumer List according to the following formula:

- Caterpillar participation = $[\text{C/L} - (\text{C/L} \times \text{Actual Life} / \text{Assurance Life})] \times 0.5$

Example: The Link-Roller System reached 120% worn at 5,400 hours. Consumer List price for the link assemblies and track rollers is \$10,000. Assurance Hours are 6,000.

$$[\$10,000 - \$10,000 \times (5,400/6,000)] \times 0.5$$

$$[\$10,000 - (\$10,000 \times 0.9)] \times 0.5$$

$$[\$10,000 - (\$9,000)] \times 0.5$$

$$[\$1,000] \times 0.5$$

\$500 is the Caterpillar reimbursement

Repair Expense	Allowance & Rate
Parts	C/L per proration.
Removal & Installation (R&I) Labor, Overtime Labor Rate, Salvage Labor, Travel Time & Mileage, Meals & Lodging, Freight Charges, Hauling Costs, Shop Supplies, Emergency Parts Service Charges, Service Items and Outside Repair Expenses	Not reimbursable.

Machines and Undercarriage Sold Before 01Mar10

Component failures must be filed against the New Machine Warranty, the New Parts Warranty or the Undercarriage Assurance Leakage and Breakage Program; only short wear out parts are claimed under the Wear Life Coverage Program.

Defining the End of Usable Life for SystemOne Undercarriage:

- For the link assembly and Track Rollers, the End of Usable Life is when the Link-Roller System reaches 120% worn
 - This is calculated by the CTS computer program, but can also be determined manually for each side with the formula $[(\text{Link percent worn} + \text{Worst Track Roller percent worn})/2]$
- For the idler, the End of Usable Life is when it reaches 100% wear determined by CTS measurements

For APD, Americas North and Americas South, if a covered component reaches the end of its usable wear life before the end of the coverage period, Caterpillar will share 50% of the proration with the dealer at Consumer List according to the following formula:

- Caterpillar participation = $[\text{C/L} - (\text{C/L} \times \text{Actual Life} / \text{Assurance Life})] \times 0.5$

Example: The Link-Roller System reached 120% worn at 5,400 hours. Consumer List price for the Link Assemblies and Track Rollers is \$10,000. Assurance Hours are 6,000.

$$[\$10,000 - \$10,000 \times (5,400/6,000)] \times 0.5$$

$$[\$10,000 - (\$10,000 \times 0.9)] \times 0.5$$

$$[\$10,000 - (\$9,000)] \times 0.5$$

$$[\$1,000] \times 0.5$$

\$500 is the Caterpillar reimbursement

For EAME, Caterpillar participation = $\text{D/N Price} \times (1 - \% \text{ worn})$

Repair Expense	Allowance & Rate
Parts	APD, Americas North and Americas South: C/L per proration. EAME: D/N per proration.
Removal & Installation (R&I) Labor, Overtime Labor Rate, Salvage Labor, Travel Time & Mileage, Meals & Lodging, Freight Charges, Hauling Costs, Shop Supplies, Emergency Parts Service Charges, Service Items and Outside Repair Expenses	Not reimbursable.

► Claim Field Information

The following outlines the unique claim field information that is required when submitting a SystemOne Undercarriage Assurance Wear Life Coverage Program service claim:

Product ID / Serial Number - Enter the Cat machine serial number for all new machine sales and parts replacement sales.

Group Number – Enter component code 774T when replaced.

Parts Start Date – For over-the-counter purchases enter the failed part sale date, OR for dealer installed enter the original repair's last day of labor.

Parts Hr/Mi/Km – Enter the part hours since it was installed. (Note this number should be less than the number entered in the Product SMU (Hr/Mi/Km) field.)

Claim Story - In addition to complaint, cause and correction, please include the following:

- Information indicating the machine is enrolled in the SystemOne™ Undercarriage Assurance Wear Life Program
- The applicable Custom Track Service (CTS) measurements
- The machine's track shoe width
- The track link assembly's serial numbers
- The link assembly or track group install-by date
- The program coverage period is 4 years or x hours, whichever occurs first. ("x hours" are equal to the coverage hours calculated by the dealer when the machine was originally enrolled in the program.)